

LoanServe — Top-Up Loan Rules

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Scope and Application

These rules govern an additional facility granted on an existing LoanServe loan without taking fresh security. A top-up is available on home loans and on vehicle loans, and is not available on gold or personal loans. The top-up runs alongside the existing loan and is repaid over the remaining tenure of that loan. A top-up is not a fresh loan and cannot outlive the loan it sits on.

Eligibility

A top-up loan may be availed after twelve months of satisfactory repayment on the existing loan. The applicant must have no instalment overdue in the preceding twelve months. The combined outstanding after the top-up must not breach the original loan to value ratio of 0.75.

Pricing and Limits

The top-up amount is capped at 30 percent of the original sanctioned amount. Top-up loans are priced 0.50 percent above the prevailing rate on the underlying loan.

Process

A top-up request is approved or declined within five working days of submission.

How the Limit Is Arrived At

The limit is the lower of thirty percent of the original sanction and the headroom available within the loan to value ratio. Headroom is computed on the current assessed value of the security, not on the value at the original sanction. A fresh valuation is commissioned where the last one is more than twenty four months old. The borrower's repayment capacity is reassessed under the Eligibility Norms before the limit is confirmed.

End Use

A top-up on a home loan may be used for renovation, for education, for medical expenses or for any other personal purpose that is not speculative. A top-up must not be used to service the underlying loan or any other borrowing. Evidence of end use is called for where the top-up exceeds Rs 5,00,000. A top-up is not granted for the purchase of a second property, which requires a fresh home loan.

Repayment

The top-up carries its own amortisation schedule and its own instalment, debited on the same due date as the underlying loan. The two instalments are collected as a single debit where the borrower's bank supports it. The top-up must be closed before or together with the underlying loan and never after it. Where the underlying loan is foreclosed, the top-up falls due immediately.

Definitions

'Top-up loan' means an additional facility granted on an existing loan without fresh collateral being taken. 'Combined outstanding' means what is outstanding on the existing loan together with the top-up amount.

Worked Example

On an original sanction of Rs 40,00,000 the top-up is capped at 30 percent, which is Rs 12,00,000, provided the combined outstanding stays inside the loan to value ratio.

Exceptions and Discretion

The twelve month seasoning requirement is not waived. The cap of thirty percent may be relaxed to thirty five percent for a borrower with no default in sixty months, with Credit Committee approval. A second top-up is considered only after the first has been repaid in full. Every relaxation is recorded in the credit note for that account.

Records and Evidence

The fresh valuation, the reassessment of capacity and the end use declaration are retained for the life of the top-up. The linkage between the top-up and the underlying loan is recorded so that neither can be closed in isolation. A borrower may obtain a combined statement showing both accounts on request.

Related Policies

The Top-Up Loan Rules should be read with: Prepayment and Foreclosure Policy, Balance Transfer Policy.

Regulatory and Compliance Notes

These rules follow the directions requiring that a top-up against existing security respect the loan to value ceiling for the underlying product. The end use of a top-up is monitored so that credit against security is not diverted to prohibited purposes. The combined exposure is reported to the credit bureau as two facilities against one security.

Review and Governance

Owned by the Retail Assets team and reviewed every six months against how the portfolio has behaved.